

Research Highlights

- Formulates a state-robust portfolio model over a continuous family of kernel-weighted conditional return distributions.
- Solves its finite-grid approximation by adaptive constraint generation, retaining an average of 3.66 state blocks out of 441 candidates.
- Reduces the observed solve time by a factor of 16.2 relative to the dense 21×21 formulation on one representative benchmark instance.
- Derives a conservative bound on the grid-discretization error and reports heuristic continuous-domain diagnostics; continuous optimality is not certified.
- Finds competitive terminal wealth but no statistically significant Sharpe-ratio advantage over the considered benchmarks.